

How can an agency or provider prove that it is managing for outcomes not just outputs?

Under the third type of contracting in the Types of Contracting for Outcomes or Outputs Tool (E3), agencies, providers, policies, organizations or initiatives are contracted or delegated to deliver outputs plus any other controllable indicators that can be found above outputs level. In addition, they are required to prove that they are also focusing on outcomes, not only on outputs (i.e. 'managing for outcomes').

How can an initiative effectively prove it's 'managing for outcomes, not only outputs'? The answer provided by this tool is that it can use the DoView Planning Framework (D1) to prove it is doing this to control agencies, purchasers/funders, auditors or other stakeholders. To do this an initiative describes what it is doing regarding each of the components in the DoView Planning Framework (D1). Being able to justify that the initiative, or some other body, has undertaken each of the components in the framework can be seen as an operational definition of 'managing for outcomes, not only outputs'.

There is currently no widely accepted standardized format for an initiative to report on how it is managing for outcomes. Therefore, when an initiative attempts to prove this, it's hard for control agencies, purchasers/funders, auditors, or other stakeholders to quickly understand how well the initiative is actually managing for outcomes. However, if the initiative uses the standardized tool here, it can systematically describe what it is doing about each of the key components required in a comprehensive managing for outcomes approach.

The current situation is rather like initiatives being asked to produce accounting reports where there was no common standardized format for such accounting reports. In such an instance, a person reading the initiative's report would first have to convince themselves that the accounting format the initiative is using covers all of the important accounting components that need to be included (e.g. assets register, depreciation schedule, general ledger). Consistent with how accounting works, a standardized approach to reporting on managing for outcomes would be very useful and this is what this tool provides.